

JPY rates: Impact of rate hikes on BoJ earnings looks manageable in 2026

DESKNOTE

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OUR KEY VIEWS

- The Bank of Japan's finances in the current fiscal year are still comfortable from a net earnings perspective, but we expect net income to turn slightly negative in the next fiscal year unless its dividend income from ETF holding increases significantly.
- How negatively the market views the implications of the BoJ starting to lose carry is open to debate. In principle, it can 'print money', but to a large extent this is a psychological issue.
- The real issue may be more a loss of 'non-tax revenue' for the government's general budget. The BoJ has contributed about JPY2trn since 2022. The Ministry of Finance will need to find a replacement for this although this will be another year off.

An inherent issue with the Bank of Japan's expected continued hiking cycle is the state of its finances, namely whether it could fall into negative carry territory if its cost of IOER were to exceed the income generated by JGB interest and ETF dividends. According to our analysis, the BoJ will stay comfortably carry-positive in the current fiscal year but will likely fall into a small (about JPY0.3trn) negative carry position in the next fiscal year (see Figure 1).

The implications of negative carry are subject to debate, even if theoretically a central bank does not have a cash-flow issue – usually phrased as: "just print more money". However, from a fiscal point of view, losing 'non-tax revenue' from the BoJ, which was about JPY2trn per year from 2022 to 2025, is painful for the government, in our view (for our basic calculations, see Figure 3 overleaf).

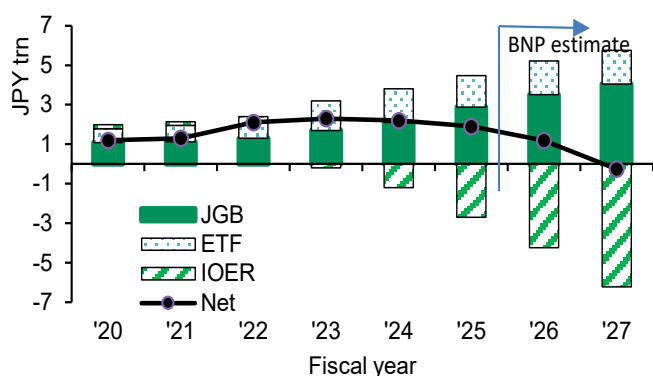
Primary income: Two sources make up most of the BoJ's primary income: income from JGBs based on book value accounting; and dividends from ETF holdings. As the BoJ buys JPY24–30trn/year of JGBs on a gross basis, the average yield is expected to rise, albeit modestly. Our analysis assumes a modest increase in the ETF dividend.

In addition to primary income, the BoJ earns interest (basically the same rate as IOER) from its loan operation. While the balance of its Loan Support Program is due to fall to zero in 2028, the balance on its Loans for Climate Transition is likely to remain steady (currently JPY25trn), as banks actively apply to secure term funding in relation to the NSFR (Net Stable Funding Ratio).

The high balance of Climate Transition Loan operation can be net negative carry for the BoJ in a rate-hike cycle, because the 1y operation is offered at fixed rate (IOER) at the time of offering. With regard to the BoJ's sale of ETFs, the amount is very small at JPY330bn per year, this still likely produces a capital gain of about JPY220bn (about 150% profit).

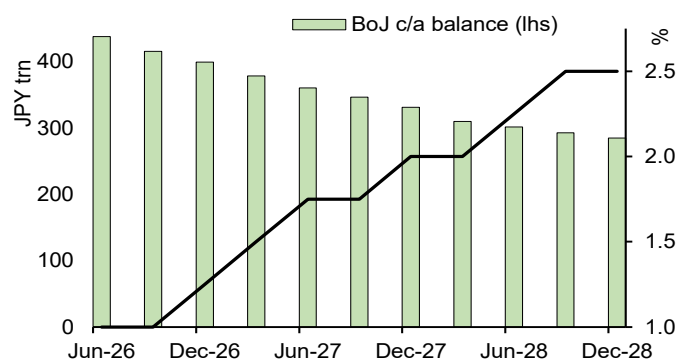
For the last two years, the BoJ has incurred a small capital loss in JGB from its "reduction scheme", but this is unlikely to continue. The BoJ looks to have an irregular income from FX, but we have not taken this into account given the considerable uncertainty on the issue.

Fig. 1: BoJ's income vs. IOER cost



Sources: BoJ, BNP Paribas

Fig. 2: BNP forecasts for the BoJ's current account balance and IOER (policy rate)



Sources: BoJ, BNP Paribas

Loss of 'non-tax revenue' may matter more than the BoJ's financial health

IOER cost: There are two opposing factors at work in terms of future IOER costs, as Figure 2 on the previous page shows. On the one hand, the BoJ's current balance continues to fall as it continues quantitative tightening, even though it will slow reinvestment from Q2 2027. Based on its current QT plan we forecast the current account balance to fall from JPY440trn currently to about JPY340trn by Q1 2028 (2027 fiscal year-end).

On the other hand, we expect the BoJ to hike the policy rate to 2% by the end of 2027. Our policy rate assumption is slightly higher than that implied by the OIS market.

Implications: For the next two years, the BoJ is not facing a serious negative carry situation, in our opinion. We think it would be painful for the government to lose about JPY2trn a year from

the BoJ's earnings as 'non-tax revenue', though this is not an immediate issue. The other main source of non-tax revenue is the FX reserve account, which regularly contributes JPY2–3trn a year to the general budget.

In terms of marking-to-market (unrealized) P&L, we forecast the unrealized loss from JGBs will exceed the unrealized profit from ETFs by mid-2027. There is no correct answer to the question of how much such a loss matters, but it is subject to general sentiment for Japan as a whole. For example, if a negative view over Japan prevails, be it over economics or politics, the BoJ's negative carry may be viewed as an additional negative factor – but would likely be ignored if positive sentiment is dominant.

Fig. 3: BoJ accounts to date and BNP estimates for the next two financial years (with reference numbers)

(For date, FY2025/26 means fiscal year 2025 which runs till March 2026)

Earnings (JPYtrn)	Actual				Estimated	
	FY2022/23	FY2023/24	FY2024/25	FY2025/26	FY2026/27	FY2027/28
Income						
JGB/operation interest	1.3	1.7	2.1	2.9	3.5	4.1
ETF dividend	1.1	1.5	1.7	1.6	1.7	1.7
Capital gain from equities	0.3	0.4	0.4	0.1	0.2	0.2
Capital loss from JGB reduction scheme	0	0	-0.1	-0.1	n/a	n/a
Cost						
IOER	-	-0.2	-1.2	-2.7	-4.2	-6.2*
Other P&L items	-0.6	-1.1	-0.7	0.1	-	-
Total P&L (recurring earnings)	2.1	2.3	2.2	1.9	1.2	-0.3

Reference numbers (JPYtrn)	Actual				Estimated	
	FY2022/23	FY2023/24	FY2024/25	FY2025/26	FY2026/27	FY2027/28
MTM (unrealized) P&L						
JGB	-0.1	-9	-28	-45	-60	--
ETF	16	37	33	57	66	--
Average JGB yield on holdings	0.22%	0.30%	0.36%	0.50%	0.61%**	0.75%**
Reserves against JGB loss	-	7.0	7.5	7.5	-	-

*Assumes policy rate hike to 1.25% in October. **Assumes average purchase yield of 1.4% for 1–3y, 2% for 3–5y, 3% for 5–10y and 4% for longer..

Sources: BoJ, BNP Paribas

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